Founder Compensation & Equity Term Schedule

Negotiation exhibit | Complete together; no equity award until properly approved and documented

Status: Values in blue-tinted boxes are for the founders to decide together. Until filled, signed, and given any necessary corporate approvals, this is a negotiation record, not a wage agreement or share award.

1. Employment and initial compensation

The proposed employee is Elliott T. Miller. The company and Elliott should separately establish employment classification and Minnesota wage-notice compliance. The previously discussed $60,000/year is a proposal only and is not preselected in the operative field.

Agreed initial annual salary ($)

Employment start date

Expected hours per week

Pay frequency

Role / corporate title, if formally appointed

Exempt / nonexempt determination (review)

2. Sustainability-triggered salary review and increase

The founders intend an actual salary increase to become due automatically after objective financial conditions are met, without fixing its future dollar amount now. A predetermined calculation method or other definite enforceable determination process is nevertheless required. A mandatory review alone does not guarantee an increase.

Consecutive qualifying closed months

Minimum post-increase cash reserves (months)

Adjusted cash-flow calculation: components, exclusions and source of verified records

Increase method: objective formula or binding third-party determination, no fixed dollar raise required

Review cadence and determination deadline

Effective payroll date after qualification

Suggested evaluation safeguards: funded inventory replenishment; current payroll, tax and supplier obligations; refund/chargeback reserves; no material foreseeable liquidity shortfall; verified accounting/bank reconciliation. Any mandatory increase must specify how disputes or calculation errors are resolved. Agreed wages remain payable regardless of business performance.

3. Elliott equity target and time vesting

The parties have discussed an eventual equity stake of 30%-40%. Enter the exact target and determine how to measure the final percentage; the range is not a valid substitute for a definite number in a grant instrument.

Exact Elliott target ownership (%)

Vesting duration (months)

Vesting start date

Cliff length (months; 0 if none)

Vesting frequency (e.g., monthly)

Prior-service credit (months, if any)

Share source and award instrument (corporate issuance, Benjamin transfer, option, other)

Share-count / capitalization formula (issued, outstanding or fully diluted; treatment of future dilution)

4. Accrued rights and departure protections

Treatment of vested rights on voluntary departure and termination without cause

Treatment of unvested rights, death/disability, cause and company sale

5. Capital, rights and approval conditions

Confirm issued shares and class, existing articles/bylaws, board membership, any prior commitments, federal tax status, equity valuation/consideration, wage classification, and securities/tax treatment. New shares or rights to acquire shares generally require Minnesota corporate board authorization. Transfers of personally owned shares require a properly drafted transfer agreement. This schedule does not amend the company share register or issue anything.

Currently issued shares (verified ledger)

Corporate tax classification (verified)

Other material economic terms / negotiated exceptions

6. Negotiation acknowledgment - not a securities instrument

The parties may sign this schedule to acknowledge what is written as their negotiation record, but no incomplete term is filled by assumption. The equity and salary-adjustment clauses are not operative promises until separately documented with definite terms, signed and approved where required. The parties may mark completed terms as approved only through a later definitive contract or explicit signed adoption satisfying all required formalities.

Benjamin W. Conklin - initials / date

Elliott T. Miller - initials / date

Use with: (1) the founders interim agreement; (2) a properly executed employment agreement and state wage notice; and (3) a separately authorized and tax-reviewed equity instrument. Obtain independent advice before granting or transferring securities.